

Tokyo Tatemono Co., Ltd.

TSE: 8804 — Cheap equity, fair enterprise, hostage to rates

RECOMMENDATION: HOLD	12-MO TARGET: ¥3,400 (+5.9%)
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Reference price	52-wk range	Mkt cap / EV	Net debt
¥3,211	≈¥2,994–¥4,374	¥668bn / ¥2.12tn	¥1.44tn (12.0x)
(2 Oct 2026 close)			

0.65x

P/NAV — NAV ≈¥4,937 per share; equity trades at a ~31% haircut to appraised values

10.3x

FY2026 P/E vs 13.35x listed-developer median — but EV/Sales sits exactly on the peer regression line

¥3,400

12-mo target = probability-weighted value (bear ¥2,300 / base ¥3,450 / bull ¥4,400)

Hold: cheap on equity multiples, fair on enterprise value — leverage explains the gap

10.3x

FY2026 P/E (guidance EPS) — 23% below the 13.35x peer median

0.65x

P/NAV — NAV ≈¥4,937 (book ¥2,930 + after-tax unrealised gains ¥2,007)

12.0x

Net debt / EBITDA — the highest in the listed peer group (median 9.2x)

¥3,400

12-mo target (+5.9% vs ¥3,211); ≈+10% total return with dividends

25%

Bear-case probability we assign (¥2,300: exit channel stalls, cap rates +50bp)

Why now — a decision point, not an entry point

- **Sector de-rating, not a company problem:** -26.6% from the Feb-2026 high while guidance rose; Mitsui, Mitsubishi Estate and Sumitomo fell 34–42%
- **Execution ahead of plan:** record FY2025 OP ¥95.8bn; FY2026 guide raised to OP ¥105.5bn / NI ¥65.0bn / DPS ¥126; 2025–27 targets a year early
- **Rates are the swing factor:** BOJ 1.25% (18 Sep), 10-yr JGB ≈2.9–3.0%; ~54% of FY2024–26E OP growth is absorbed below the OP line
- **Capital-policy optionality:** plan met early → new capital policy likely with FY2026 results (mid-Feb 2027)

What has to go right

- 2H FY2026 operating profit of ≈¥65.7bn — the record, hotel-led investor-sale programme must close at margin
- 10-yr JGB stays below ~3% and prime cap rates hold ≈3.2%, so J-REIT and private buyers keep bidding
- Office rent reversion (vacancy 1.87%, asking rents +12.5% YoY) keeps outrunning refinancing costs
- Year-end debt falls back toward ¥1.40tn and D/E toward the ≈2.4x guide (2.53x at June)

Position sizing: do not initiate at ¥3,211. Accumulate below ~¥3,000 (≈0.6x NAV, 9.3x FY2027E EPS) or on Q3 + year-end evidence. A levered, rate-sensitive developer — size as a rates-and-capital-policy position, not a core NAV compounder.

Tokyo Tatemono at a glance

What it does

- Japan's oldest listed developer (founded 1896, Yasuda/Fuyo lineage): a mid-sized Tokyo landlord-developer clustered around Tokyo Station — Otemachi Tower, Tokyo Square Garden, TOFROM YAESU (completed Feb 2026)
- Four profit engines: rent (stable), sales of stabilised buildings to investors (fast-growing, cyclical), Brillia condos (booked at handover), fees (brokerage, ~90,000 NPC24H parking spaces, resorts, asset management)
- J-GAAP, December year-end; ¥1.54tn of debt funds a ¥1.66tn (fair value) rental portfolio

Segment mix — FY2025

Segment	Revenue	Op. profit	Margin	Comment
Building	¥220.2bn	¥67.1bn	30.5%	Rent + record investor sales
Residential	¥165.1bn	¥25.6bn	15.5%	Handover timing; 1H26 trough
Asset Service	¥63.5bn	¥11.5bn	18.1%	Brokerage, resales, NPC24H
Other	≈¥25.8bn	¥4.2bn	16.2%	Resorts, AM; overseas −¥6.9bn (equity method)
Group	¥474.6bn	¥95.8bn	20.2%	After ≈−¥12.5bn corporate costs

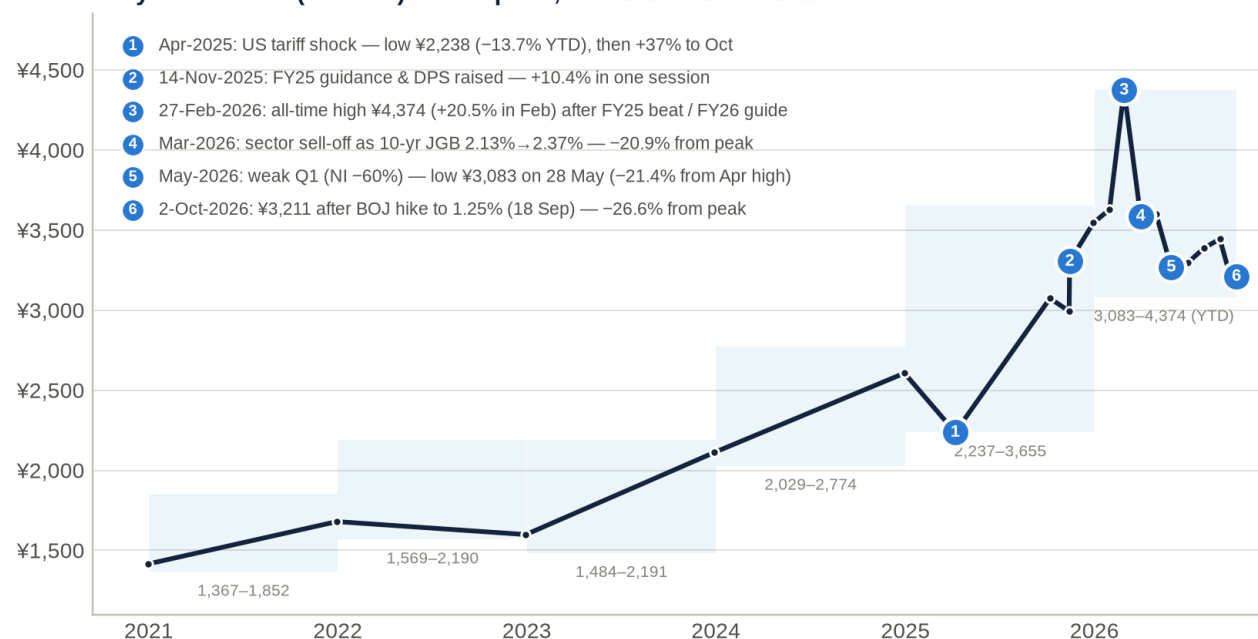
Where the power sits in the supply chain

- **Upstream:** TT controls the scarce inputs — Yaesu/Kyobashi redevelopment rights and Tokyo approvals; construction is outsourced to Taisei, Obayashi and Kajima, which hold pricing power (+5.1% costs)
- **Midstream:** develop, lease and operate in-house (Tokyo Fudosan Kanri, Prime Place, NPC24H, Tokyo Tatemono Resort)
- **Downstream:** exit via its own platform — sole sponsor of Japan Prime Realty (TRIM 100%), a private REIT and funds — booking the gain and keeping the fees

The single most distinctive fact: TT owns both the scarce input (Tokyo Station redevelopment rights) and its own exit channel (JPR) — but funds the loop with the most levered balance sheet among listed peers (12x net debt/EBITDA).

A 2.3x run to the February 2026 high, then a rate-driven 27% de-rating

Tokyo Tatemono (8804 JP): share price, end-2020 – 2 Oct 2026



Path joins reported year-end, monthly (2026) and event-day closes; shaded bands = annual high–low range. Source: Nikkei, Kabutan (via search extracts); research notes.

Path joins reported year-end, monthly (2026) and event-day closes; shaded bands are annual high–low ranges.

Key catalysts

2020 – 2025

Price +150.6% (TSR +197%, ~24%/yr) as EPS compounded 14%/yr and the stock re-rated in 2025.

14 NOV 2025

Q3 guidance and dividend raised: +10.4% in one session — the only >10% single-day move.

27 FEB 2026

All-time high ¥4,374 (+20.5% in February) after the FY2025 beat and FY2026 guidance above consensus.

MAR – MAY 2026

JGB spike and a weak Q1 (NI –60%): two –21% drawdowns; 2026 low ¥3,083 on 28 May.

6 AUG 2026

1H beat; FY2026 guidance raised (OP ¥105.5bn, NI ¥65.0bn, DPS ¥126) — muted reaction.

18 SEP 2026

BOJ to 1.25%; shares break their rising-low support — ¥3,211 on 2 Oct (–26.6% from peak).

Cheap on equity multiples — not on enterprise value

Metric	Tokyo Tatemono	Mitsui Fud.	Mitsubishi Est.	Sumitomo RE	Tokyu Fud. HD	Nomura RE	Hulic	Peer median (8)
Forward P/E	10.3x	14.3x	18.6x	13.4x	9.4x	9.2x	10.9x	13.35x
P/B	1.10x	1.25x	1.61x	1.16x	1.03x	0.99x	1.39x	1.25x
EV/Sales	4.47x	3.15x	4.36x	6.39x	2.10x	2.66x	4.68x	4.52x
EV/EBITDA	17.7x	15.9x	17.4x	18.1x	11.2x	15.8x	16.7x	17.0x
EBIT margin	20.2%	14.7%	18.9%	28.3%	13.4%	14.7%	25.7%	22.3%
Net debt / EBITDA	12.0x	8.3x	7.4x	10.0x	7.1x	10.4x	10.1x	9.2x
Dividend yield	3.9%	2.45%	1.35%	1.61%	3.81%	4.75%	3.86%	3.25%
ROE	10.5%	8.7%	8.5%	9.2%	11.2%	10.7%	13.1%	9.1%

Tokyo Tatemono at ¥3,211 (2 Oct 2026), EV on the 30 Jun 2026 balance sheet; peers priced 7 Aug–30 Sep 2026, last fiscal year (mostly FY3/2026). Median includes Heiwa RE and Keihanshin Bldg. Source: peer dataset (Shikiho, kabuyoho, company filings via search extracts).

What the comparison shows

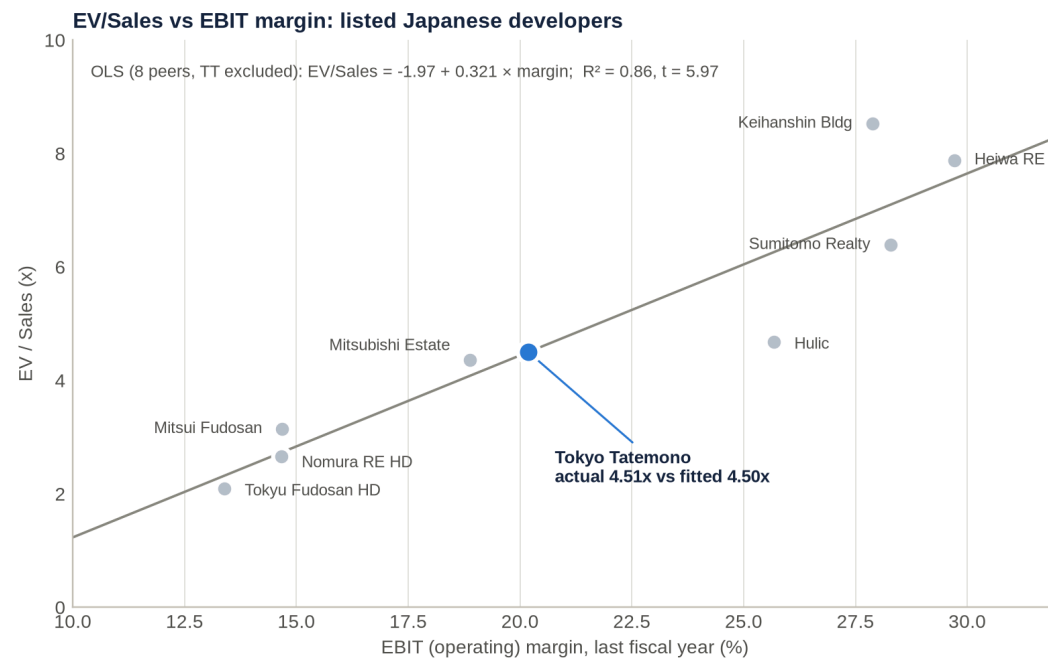
- Equity screens cheap: P/E 23% and P/B 12% below the peer median, with an above-median 3.9% yield and 10.5% ROE
- Enterprise screens fair: EV/Sales 4.47x vs 4.52x median; EV/EBITDA 17.7x vs 17.0x; EV/EBIT 22.2x vs 22.0x
- The gap is debt: 12.0x net debt/EBITDA after a ¥191bn 1H debt build — the highest in the group

The honest counter-read

- On the Dec-2025 balance sheet (before the seasonal build) EV/EBITDA is 15.6x — some of the 'fair' read is timing
- Against its own history the stock is full: EV/Sales above its 3.53–4.09x FY2021–25 range; P/E above its 7.0–9.9x three-year band
- Hulic and Mitsubishi Estate earn their premia with lower leverage or higher margins — the multiple gap is partly earned

The peer regression says fair on EV — the 'discount' is leverage, not mispricing

EV/Sales vs EBIT margin — 8 listed developers



EV = market cap + interest-bearing debt – cash + NCI (hybrids 100% debt). Prices 7–30 Sep 2026; TT at ¥3,286 (25 Sep). Source: peer_valuation_8804.csv (Shikiho/kabuyoho/company filings via search extracts).

OLS, Tokyo Tatemono excluded from the fit: $EV/Sales = -1.974 + 0.3208 \times EBIT \text{ margin } (\%)$; $R^2 = 0.856$, $t = 5.97$ ($p \approx 0.001$), $n = 8$.

Why this regression matters

- A strong fit: margin (how much of a company is leasing vs develop-to-sell) explains ~86% of peers' EV/Sales
- Tokyo Tatemono sits on the line — actual 4.47x vs fitted 4.50x → implied ¥3,271 per share (+1.9%), close to our ¥3,400 target
- Very sensitive: equity is only ~31% of EV, so each 0.1x of EV/Sales = ¥228/share; variants span ¥2,376 (large caps only) to ¥4,477 (Dec-2025 balance sheet)
- Upside requires the June debt peak to unwind (→ ¥4,477) or above-peer growth to be capitalised (forward basis → ¥3,833) — exactly what 2H FY2026 will test

Not a classic trap — but growth after FY2026 is eaten by the cost of money

¥bn unless per share	FY2025A	FY2026E	FY2027E	FY2028E
Operating income	95.8	107.0	113.0	118.0
Net non-operating cost	17.6	22.0	24.0	26.5
Ordinary income	78.2	85.0	89.0	91.5
Net income	58.9	65.4	66.8	67.9
EPS (¥)	283	315	323	330
EPS growth	-10.3%	+11.4%	+2.6%	+2.0%
DPS at 40% payout (¥)	105	126	129	132

Our estimates (report Section 8). FY2026 guidance: OP ¥105.5bn, NI ¥65.0bn (EPS ≈¥313); consensus NI ¥66.5bn (≈¥320); Toyo Keizai FY2027 EPS ≈¥311. FY2027–28 consensus not available.

Reading the earnings path

- EPS compounded 14%/yr FY2021–25 and book value ~9%/yr — the earnings base is real and growing
- FY2026E growth is more than fully explained by a +¥14bn step-up in investor-sale profit; we assume -¥4bn in FY2027E as cap rates temper demand
- Financing costs rise from ¥17.6bn to ¥26.5bn: OP +¥11bn over FY2026–28E, but pre-tax only +¥3.5bn
- Unrealised gains grew only 3.9%/yr (¥515bn → ¥600bn): NAV is being harvested, not compounded

Verdict: a structural, leverage-linked discount rather than a trap. Closing it needs a capital-policy catalyst (buybacks funded by asset sales), not more earnings growth.

DuPont: leverage, not margin, carries the 10% ROE

12.4%

Net margin, FY2025 (NI ¥58.9bn ÷ revenue ¥474.6bn)

0.22x

Asset turnover (revenue ÷ average total assets of ~¥2.2tn)

3.87x

Equity multiplier (average assets ÷ average shareholders' equity)

≈10.5%

ROE FY2025 (FY2024 12.8% flattered by ≈¥20–25bn one-off gains)

The DuPont decomposition

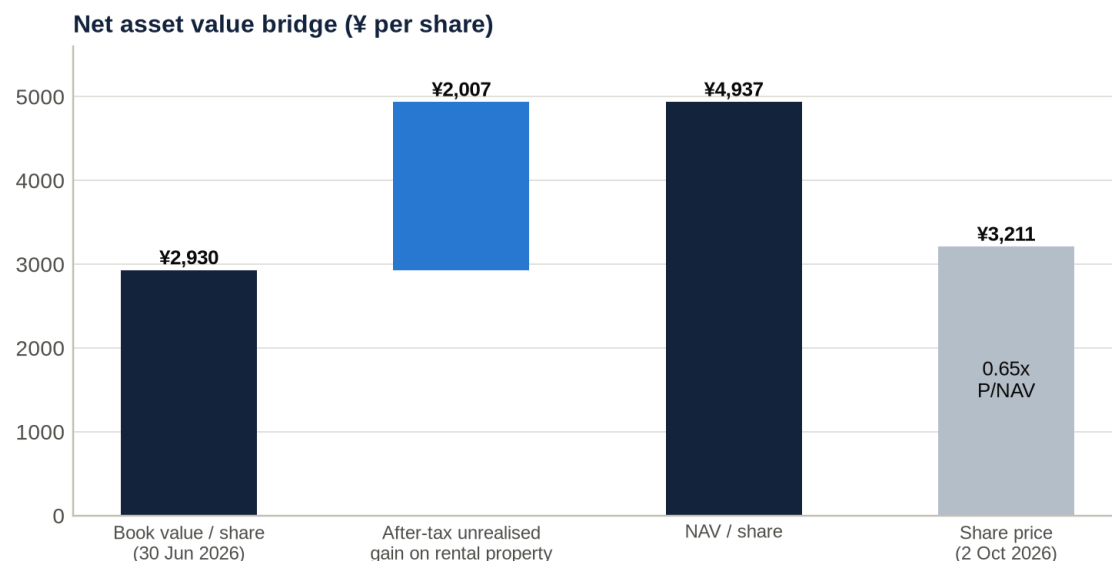
- $ROE \approx 12.4\% \times 0.22x \times 3.87x \approx 10.5\%$ — almost four times leverage turns a ~2.7% ROA into a double-digit ROE
- ROIC on book invested capital is only 3.1–3.7% (FY2021–25), barely above a rough weighted cost of capital
- Asset turnover is structurally low (asset-heavy landlord); margin is cyclical (sale gains); leverage is the lever being pulled

What this means for the equity

- Every +100bp on fully repriced debt removes ≈¥15bn pre-tax (~16% of net income, ≈¥51/share)
- 1.10x P/B with ≈10.7% ROE implies near-zero long-run growth at a 9–10% cost of equity — the market treats 10% ROE as the ceiling
- A re-rating needs better returns per unit of risk: recycling gains into buybacks at 0.65x NAV, not more balance-sheet growth

The cleanest diligence takeaway: Tokyo Tatemono's ROE is a leverage product. Track year-end debt/equity and the non-operating line, not the operating margin.

0.65x NAV: the market haircuts appraised values by ~31% — the private market does not



Unrealised gain ¥599.9bn at 31 Dec 2025 (fair value ¥1,658.0bn vs book ¥1,058.1bn), taxed at 30.6%, ÷ ~207.5m shares. Source: FY2025 Yuho rental-property note via search extracts.

What the NAV discount implies

- NAV ≈¥4,937 = book ¥2,930 + after-tax unrealised gain ¥2,007 (rental property fair value ¥1,658bn vs book ¥1,058bn; 30.6% tax)
- At ¥3,211 the market credits only ≈¥58bn of the ¥416bn after-tax gain → a 31% haircut, ≈+136–181bp of cap-rate expansion
- Private marks disagree: JREI prime cap rate flat at 3.2% for seven surveys; Blackstone paid ≈¥400bn for Tokyo Garden Terrace (2025)
- Peers: Mitsubishi Estate and Mitsui ≈0.64x, Sumitomo ≈0.47–0.51x; TT's own 2026 range 0.62x (May) – 0.90x (Feb)
- Cushion: fair value would need to fall ~36% before reaching book; each ¥100bn of impairment ≈ ¥482/share

No campaign yet — but Tokyo Tatemono fits the activist template

What the register and newsflow show

- **No activist stake, letter or proposal** found 2018–2026 (negative finding from limited searches)
- **Passive register:** Master Trust 18.02%, Custody Bank 12.01%; ≥5% filers are index/asset managers — BlackRock 6.42%, SMTAM 5.07%, Nomura AM
- **Thin stable base:** Fuyo-group insurers ≈4.3% and falling (Sampo 2.28% → 2.00%); Hulic cross-holding 1.22%; insiders 0.08%
- **Short interest negligible:** GS International peaked ~1.1% in 2025, below 0.5% since Apr 2025; margin ratio 2.82x on tiny balances

Direct answer to the activist question

- Peers are already targets: Elliott holds 3.5% of Sumitomo Realty; Mitsui Fudosan conceded a ≥50% total payout in 2024; Oasis' Tokyo Dome campaign ended in a sale
- TT's gaps are the classic asks: 0.65x NAV, a 40% payout with only a token ¥3bn buyback, ≥¥130bn of cross-holding/asset sales still to come, an ex-banker non-independent chair and three representative directors
- Pre-emptive steps blunt the case: payout raised to 40% a year early, one-year director terms (2025), cross-shareholdings ≤10% of net assets by 2027

Bottom line: an activist minority stake is the most likely event path (our judgement: 20–30% over three years). The ask would be buybacks funded by asset sales and the ~¥35bn Hulic stake, a ≥50% total payout, and an independent chair.

No blocking holder — but size and leverage make a bid unlikely

≈44%

Top-10 holders — mostly trust-bank custody and foreign custodians

≈4.3%

Fuyo-group stable holders (Meiji Yasuda, Sampo) — and falling

¥0.9–1.0tn

Equity value at a 30–50% premium — 3–5x the largest recent Japanese RE take-private

12.0x

Net debt/EBITDA already — little room left for acquisition debt

Why activism can work here

- No controlling or strategic shareholder; Japan's pro-M&A governance climate (METI 2023 guidelines, TSE P/B push)
- A clear, monetisable value gap (0.65x NAV) and listed stakes worth ≈¥56–61bn (Hulic ≈¥35bn) to fund buybacks
- Passive holders support capital-return proposals at a fair price

Why a whole-company bid is unlikely

- Size: no integrated Japanese developer has been bid for; Leoplace21 (≈¥270bn, Sep 2026) is the largest recent RE take-private
- Leverage: a buyer inherits ¥1.44tn of net debt; LBO returns of 7–11% sit below 15–20% hurdles
- Relationships: Mizuho/SMBC/MUFG lenders, change-of-control terms unknown; whole-company bid probability ≈5% over three years

Our assessment: the event angle is capital-return pressure (activist or self-help) rather than a takeover. A bid, if it came, would most plausibly be a friendly share-exchange with Hulic or a break-up-minded strategic/sovereign club.

Japanese real-estate M&A is active — but mid-cap, at 21–45% premiums

Announced	Target	Acquirer	Price / premium	Value
Nov 2020	Tokyo Dome	Mitsui Fudosan (+Yomiuri 20%)	¥1,300; +44.9% (post-Oasis campaign)	≈¥120bn
Nov 2020	Kenedix	SMFL Mirai Partners + ARA/ESR	¥750; +26.5%	≈¥165bn
Nov 2021	Daibiru	Mitsui O.S.K. Lines (owned 51.9%)	¥2,200 per share	¥121.3bn
Feb 2022	31 Prince hotels (asset deal)	GIC (from Seibu HD)	≈2.1x seller's book	≈¥150bn
Mar 2022	Mitsubishi Corp.-UBS Realty (AM)	KKR	≈1.4% of ¥1.7tn AUM	¥230bn
Oct 2024	Samty HD	Hillhouse (Song Bidco)	¥3,300 per share	n/a
2025	Tokyo Garden Terrace Kioicho (asset)	Blackstone (from Seibu HD)	≈2.9x seller's book	≈¥400bn
Jan / Sep 2026	Sankei Real Estate REIT	Tosei/GIC funds; rival bid Sep 2026	¥125,000/unit; +20.9% (failed May)	n/a
Feb 2026	Sun Frontier Fudosan (20.05%)	Itochu	¥2,800 partial TOB + allotment	≈¥13.4bn allotment
Sep 2026	Leopalace21	Hikari Tsushin + MBK/NEC Capital	¥1,000; ≈+45% (trading above offer)	≈¥270bn

- 28 real-estate tender offers filed Nov 2022–Sep 2026 (EDINET scan) — all small/mid-cap; premiums cluster at +21% to +45%
- Asset deals clear at 2–3x sellers' book: private capital pays full prices for prime Tokyo assets

Status as of this note: no approach, stake-building or process is visible at Tokyo Tatemono. Transaction EV/EBITDA and P/NAV multiples were not retrievable for these deals; premiums and book multiples are the usable benchmarks.

A bid would price at ¥4,170–4,820 — and a classic LBO does not work

Premium to ¥3,211	Price / share	Equity ¥bn	EV ¥bn	P/B	P/NAV	P/E FY26 (guide)	EV/EBITDA FY26E
0%	¥3,211	668	2,123	1.10x	0.65x	10.3x	16.1x
20%	¥3,853	801	2,256	1.32x	0.78x	12.3x	17.2x
30%	¥4,174	868	2,323	1.42x	0.85x	13.3x	17.7x
40%	¥4,495	935	2,390	1.53x	0.91x	14.4x	18.2x
50%	¥4,816	1,002	2,456	1.64x	0.98x	15.4x	18.7x

FY2026E EBITDA = OP guidance ¥105.5bn + D&A ≈¥26bn (estimate). Illustrative framework, not a projection of any actual transaction.

What this framework tells us

- Four anchors converge on ¥4,170–4,820: peer-median P/E (≈¥4,180), Mitsubishi Estate's P/B (≈¥4,720), NAV parity (≈¥4,940), the Feb-2026 high (¥4,374)
- LBO at a 40% premium: EV ≈¥2.39tn (18.2x EBITDA); 11x debt capacity is what TT already owes → ≈¥0.94tn equity cheque (39% of EV)
- Five-year exit at entry multiple with 3–5% EBITDA growth and no deleveraging → 1.4–1.7x MOIC, 7–11% IRR

Practical read: the market is not pricing takeout optionality — rightly. Only a strategic or break-up buyer makes sense; for public investors the same value gap is accessible through capital policy (buybacks at 0.65x NAV).

Two inflations are racing: the rents TT can reprice and the cost of its money

1.25%

BOJ policy rate after the 18 Sep 2026 hike
— the highest since 1995

≈2.9–3.0%

10-year JGB (2.945% intraday in Aug 2026)
— passed 2% only in Dec 2025

1.87%

Central-5-ward office vacancy (Aug 2026);
asking rents +12.5% YoY

3.2%

Prime Marunouchi/Otemachi cap rate —
only ≈20–30bp over the 10-yr JGB

Why rates and rents are different risks

- **Rents:** short (2-year) Tokyo leases reprice fast — a tailwind now (+12.5%), a headwind just as fast if the cycle turns
- **Rates:** ≈¥1.5tn of mostly fixed, long-dated debt reprices gradually but relentlessly; non-operating drag ¥7.9bn (FY24) → ¥22.0bn (FY26 guide)
- **Cap rates:** the exit channel — J-REIT equity raising and private bids — is where rates bite first; TSE REIT index hit 2026 lows in May–June

What would resolve each one

- Rents: Miki Shoji monthly data — vacancy below 2% and rent growth above 10% sustains reversion
- Rates: BOJ path beyond 1.25% and whether the 10-yr JGB holds below ~3% (Sell trigger: above 3.25%)
- Cap rates: closing of the hotel-led 2H sale programme at margin, and JPR equity issuance

The structural risk unique to Tokyo Tatemono among the majors: the most levered balance sheet in the group, funding a growth model that depends on selling assets into a buyer pool whose cost of capital is rising.

Both outcomes are live — and both resolve within two prints

The bear case

- Hotel-led 2H FY2026 disposals slip into 2027 as J-REIT unit prices make offerings uneconomic; FY2026 OP lands near ¥98bn
- BOJ to 1.5–1.75%, 10-yr JGB > 3.25%; JREI finally shows cap-rate widening; NAV ≈¥600/share; market applies a 'Sumitomo discount' (0.5x NAV)
- Debt/equity > 2.6x; JCR outlook negative; condo contract rates < 60%; overseas losses recur → ¥2,300 (–28%)

The bull case

- Rent reversion on short leases outpaces refinancing; TOFROM YAESU's first full year (FY2027) and retail lease-up add recurring income
- Private capital keeps clearing Tokyo assets at ≈3.2% (Blackstone, GIC, Leoplace21 bid at +45%): sale gains crystallise appraisal values
- New capital policy in Feb 2027 adds buybacks and an ROE target above 10% → 12.5x FY2027E EPS ≈ ¥4,400 (+37%)

Bottom line: both paths are falsifiable on a known timetable — Q3 (mid-November 2026) and FY2026 results with the capital policy (mid-February 2027). That argues for patience and explicit triggers rather than buying or selling aggressively at ¥3,211.

Below every moving average, but the long-term uptrend is intact

¥3,211

Last price (2 Oct 2026); first close below the May–Sep rising-low line

¥4,374

All-time high (27 Feb 2026); –26.6% from peak

¥3,083

2026 low (28 May 2026); next supports ¥3,135 / ¥3,083 / ¥3,000

≈¥3,550

200-day moving-average proxy (built from monthly bars)

Moving-average picture

Average (proxy)	Level	Price vs average
50-day	≈¥3,360	–4.5%
100-day	≈¥3,370	–4.7%
200-day	≈¥3,550	–9.5%

Proxies built from monthly bars (daily data unavailable): ±2–3% error.

Reading the chart

- Monthly highs have fallen every month since February (¥4,374 → ¥3,922 → ¥3,606 → ¥3,542 → ¥3,481); short averages below the long — a death-cross-type set-up
- Kabuyoho's trend signal: 'sell continuation'; retail margin positioning negligible, no reportable short
- Annual lows keep rising (¥1,484 → ¥2,029 → ¥2,238 → ¥3,083): a de-rating within a secular uptrend, not a breakdown
- Turn signal: hold ¥3,083 and reclaim the ¥3,245 floor; resistance ¥3,480 / ¥3,550 / ¥3,922

Conservative in form, aggressive in quantity: debt at the guide ceiling

¥1,537bn Interest-bearing debt at 30 Jun 2026 (+ ¥191bn in six months)	¥94bn Cash at 30 Jun 2026 (¥152bn at Dec 2025)	2.53x Debt/equity vs the ≈2.4x guide (2.27x at Dec 2025)	A (JCR) Issuer rating, upgraded from A-; hybrids rated BBB+
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Why this balance sheet matters

- Mostly long-term, fixed-rate relationship-bank debt (Mizuho, SMBC, MUFG) plus bonds — repricing is gradual but one-directional
- Mid-year debt is seasonally inflated (for-sale inventory ahead of 2H disposals, Blackstone/Yellow Hat building purchases, Star Mica stake) — December is the real test
- Operating cash flow ¥19–32bn vs OP ¥80–96bn (FY2024–25); FY2024 free cash flow – ¥123bn: dividends are effectively funded by sales and debt
- Maturity ladder and covenants not retrievable — verify in the FY2025 Yuho

Capital-allocation priorities, in order

- 1. Dividends: payout raised to 40% a year early; DPS ¥51 (FY21) → ¥126 (FY26E), 13 straight increases
- 2. ≈¥200bn of redevelopment FY2025–27 (Kyobashi 3-chome East, FY2029)
- 3. ≥¥130bn of cross-shareholding and fixed-asset sales; cross-holdings ≤10% of net assets by end-2027
- 4. Buybacks: token — one ¥3bn programme (2025), shares cancelled; the obvious gap at 0.65x NAV

Two prints and the BOJ decide the case over the next five months

LATE OCT & DEC 2026	BOJ policy meetings / 10-yr JGB Pace beyond 1.25%; JGB above or below 3% (Sell trigger: sustained above 3.25%).	CRITICAL
~MID-NOV 2026 (est.)	Q3 FY2026 results 9M OP progress vs 52.8% last year; hotel-led sale closings; condo handovers; debt.	CRITICAL
BY 30 OCT 2026	Leopalace21 TOB close; Sankei REIT contest Sector take-private premiums and private-capital appetite — read-across for NAV support.	MEDIUM
~MID-FEB 2027 (est.)	FY2026 results, FY2027 guidance, capital policy Year-end debt (≈¥1.40tn = upgrade trigger); buyback; ROE target above 10% — the largest re-rating catalyst.	CRITICAL
LATE MAR 2027	209th AGM Support for CEO/chairman; any shareholder proposals; new ≥5% non-index filers.	HIGH
JAN–FEB 2028 (OR EARLIER)	Next medium-term plan Targets toward the 2030 vision (business profit ≈¥120bn); NAV-per-share objective.	HIGH

What would make this thesis wrong

01 Exit channel closes J-REIT and private buyers retreat as the 10-yr JGB passes 3%; the record sale programme slips; earnings fall 20–30% and value drops to ¥2,260–2,580.	02 Leverage ratchet Debt/equity stays above the ≈2.4x guide (2.53x at June); rating pressure raises the cost of capital and closes the asset-turnover spread.	03 Refinancing drag Every +100bp, once fully repriced on ¥1.54tn, removes ≈16% of net income (≈¥51 per share); non-operating cost already ¥22bn in FY2026 guidance.
04 New office supply Yaesu 2-chome Central (Jan 2029) and TT's own Kyobashi tower (FY2029) arrive as a +12% rent cycle matures; Mitsubishi Estate can outspend.	05 Condo affordability Initial contract rate 64.8%, rising inventory; 1H condo gross margin 27.8% (–2.6pt); construction costs +5.1% a year.	06 Overseas & governance FY2025 equity-method loss –¥6.9bn, a London office project; ex-banker chair, 0.08% insider ownership, bonus tied to profit not ROE/TSR.

Push capital policy, not strategy

What we would push for

- Disclose the leasing vs sale-gain split inside Building, and a recurring run-rate that management would underwrite without a sale market
- A programmatic buyback funded by the ~¥35bn Hulic stake and mature-asset sales while the stock trades at ~0.65x NAV
- Next plan: ROE above 10%, a ≥50% total-payout commitment (Mitsui precedent) and an explicit NAV-per-share objective
- Governance: an independent chair, fewer representative directors, and pay tied to ROE/TSR rather than ordinary profit

Sizing & monitoring

- Hold / do not initiate at ¥3,211; accumulate below ~¥3,000 (≈0.6x NAV, 9.3x FY2027E EPS)
- Upgrade trigger: Q3 9M OP progress ahead of 52.8%, and FY2026 year-end debt back near ¥1.40tn with a funded buyback
- Downgrade to Sell: 10-yr JGB above 3.25%, FY2026 sales slip into 2027, year-end D/E above 2.6x, or overseas losses at FY2025 scale
- Watch the AGM notice (≈8 weeks before late March) and EDINET for new ≥5% non-index filers

Engagement path: there is no controlling shareholder to lobby — the register is passive and the board is plan-driven. The most effective route is a private letter to the CEO and board ahead of the February 2027 capital-policy update, backed by the 15 questions in the full report, with the 209th AGM (late March 2027) as the escalation point.

Recommendation: HOLD

¥3,400 12-mo target (+5.9%) = probability-weighted value	0.65x P/NAV; 10.3x FY2026 P/E; 3.9% yield	12.0x Net debt / EBITDA — highest among listed peers	¥3,000 Accumulation trigger (≈0.6x NAV)
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- Cheap on equity multiples, fair on enterprise value: the peer EV/Sales–EBIT-margin regression (R^2 0.86) implies ¥3,271 — the discount is leverage
- Execution is ahead of plan (FY2026 OP guide ¥105.5bn; targets a year early), but growth now comes from asset sales and borrowed money; EPS growth slows to 2–3% after FY2026
- Rates are the swing factor: BOJ 1.25%, 10-yr JGB ≈3%; ~54% of FY2024–26E OP growth is absorbed below the operating line
- Event optionality is capital policy and activism, not a takeover: buybacks at 0.65x NAV funded by the Hulic stake and asset sales would close the gap

Sizing & monitoring

Do not initiate at ¥3,211. Accumulate below ~¥3,000 or on proof: Q3 9M progress above 52.8% and December debt back near ¥1.40tn.

Downgrade to Sell if the 10-yr JGB holds above 3.25%, the FY2026 sale programme slips, D/E exceeds 2.6x, or overseas losses recur.

Decisive data point: mid-Feb 2027 FY2026 results, year-end debt and the new capital policy.